GLOBAL INTELLIGENCE

Evening Update

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What Changed Today

- **Wall Street's worst day in years:** The S&P 500 fell about 4.35% and the Nasdaq Composite about 5.5%, wiping out roughly $3.2tn of market value (ANSA, FT). The trigger was a chip-led rout. Investors fear the Democratic midterm win will bring tighter AI regulation and curbs on data-centre building.
- **Asia opens under pressure:** South Korea's Kospi fell 5.3% on Thursday and quotes now show it below 5,000. Samsung and SK Hynix were already down 7.6% and 9.5% on Thursday (Korea JoongAng Daily). Japan's Nikkei is also sharply lower in early quotes.
- **Europe fell less than the US:** Milan closed down 1%, the worst bourse in Europe. Frankfurt lost 0.4%, London 0.3%, Paris gained 0.3% and Madrid 0.8%. The BTP-Bund spread widened to about 109.7 basis points.
- **Oil rebounds after Wednesday's 9% plunge:** Brent is near $99. Tankers were attacked near Hormuz, and Trump said he will either certify an Iran deal or "destroy the rest of the country", adding "you will know soon".
- **Trump meets Putin's envoy:** He saw Kirill Dmitriev at the White House but not Ukrainian representatives. Melania Trump hosted Russian and Ukrainian officials to mark the Oleshky truce. The Abu Dhabi talks are due on 10-11 November.
- **Lagarde: the December ECB decision is open:** She said the ECB will judge in December whether to hike again and that energy-driven inflation will last for some time.
- **Blue Origin delays launches to 2027:** The delay follows a "devastating explosion" (FT). It leaves SpaceX further ahead.
- **Mexico cuts rates by surprise:** Banxico cut to 6.25%, a four-year low, and signalled an extended hold.

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Europe & Italy

Italy's markets took the brunt in Europe. Milan fell 1% as chip and industrial names dropped. STMicroelectronics and Technoprobe lost about 9% each, and Fincantieri, Stellantis and Prysmian about 4%. Leonardo fell 3.4%. Bper lost 2.7% after its third-quarter results, while Tenaris rose 3.6% on its results (ANSA). The 10-year BTP yield closed at 4.33%, with the spread to the German Bund at about 109.7 basis points, up from 105 at the open.

Lagarde: December decides on another hike

Speaking to students in Milan, ECB President Christine Lagarde said the bank discussed raising rates at its last meeting but chose to wait for data. It will revisit its projections in December. She said energy-driven inflation will probably persist until base effects ease year-on-year comparisons, but called that a probability, not a certainty. ANSA reports she is leaving the ECB earlier than planned so she can speak more freely.

Why it matters: Euro-area inflation was 4.0% in October. Energy prices are up about 18% on the year. The ECB is weighing a second tightening in a row against weakening growth.

For Europe & Italy: Higher rates raise the cost of servicing Italy's debt, which is why the spread is watched closely.

Watch: The ECB's December meeting and updated projections.

Sources: ANSA

German carmakers hit by four profit warnings

Handelsblatt says VW, BMW and Mercedes issued four profit warnings between them. Third-quarter profits collapsed. The paper blames an electric-vehicle boom in Europe that is squeezing combustion-engine sales, and a collapse of combustion-car demand in China. It sees no improvement ahead.

Why it matters: Autos are the core of German industry and a large part of Italy's component supply chain.

Sources: Handelsblatt

Industry lobbies urge ambitious EU budget spending on competitiveness

Confindustria, Germany's BDI and France's Medef jointly asked that negotiations on the next EU budget keep "ambitious" competitiveness spending. They also asked not to raise the fiscal burden on firms.

Sources: Il Sole 24 Ore

League federal council in Milan today

The party's federal council meets today to discuss the revolt against Senate leader Massimiliano Romeo. Earlier editions covered the petition signed by most League senators. No outcome is reported yet.

Other Europe

- **Poland:** Drone maker WB Electronics has asked banks to pitch for a potential Warsaw IPO next year that could value it at around €7bn (FT).
- **Aviation:** The BBC reports there is no hard evidence linking hoax bomb threats against European flights to Russia, Iran or proxies.
- **UK:** Fintech Monzo is exploring a fundraising at a £7.5bn valuation after its £10bn takeover by Nubank failed (FT).
- **G20:** Andy Burnham said Britain will not follow Trump in actively inviting Putin to the G20 (Politico Europe).

World

Trump keeps pressure on Iran

Trump said he will either certify an agreement with Iran or "destroy the rest of the country", adding that he would prefer not to (ANSA). He gave no date and the report does not specify the agreement. Hormuz remains disrupted. The Revolutionary Guards say two tankers and a tugboat caught fire, and a mine hit a tanker, according to US media. Qatar-led mediation continues. Brent fell about 9% on Wednesday and rebounded on Thursday. It was heading for its biggest weekly loss since April (Bloomberg).

Watch: Any Trump decision, and whether Qatar's phased proposal advances.

Russia-Ukraine: a White House show of diplomacy

Melania Trump hosted Russian and Ukrainian officials to mark the Oleshky local truce. CNN and US media identify them as the two countries' human-rights ombudsmen. She said nearly 800 people were evacuated. Trump met Dmitriev, Putin's envoy, but not Ukrainian representatives (Bloomberg). Separately, Ukraine's chargé d'affaires hopes for a new Starshield contract with SpaceX by mid-2027 and is weighing alternatives.

Watch: The three-way talks in Abu Dhabi on 10-11 November.

United States: AI politics reprices markets

Democratic Rep. Subramanyam called for a federal data-centre plan to protect communities from higher power costs. Google, Meta and TikTok sued California over a law restricting "psychologically exploitative" features for children. The US also sanctioned four people and 41 companies tied to Cambodia's Prince Group scam network.

China and Indo-Pacific

The FT says Beijing's block of SoftBank's $5.4bn ABB robotics deal marks the start of a "robot war" over AI-driven machines. China and Taiwan are also contesting the 160th anniversary of Sun Yat-sen's birth (Economist). The Kospi closed down 5.3% on Thursday and is now below 5,000. Software group Atlassian fell about 20% on a weak outlook.

Middle East

Israel's election on 27 October gave two Arab-majority lists a record 19 seats. Both back Gadi Eisenkot to form a government (Japan Times). In Turkey, former AKP deputy chair Fatma Betul Sayan Kaya was arrested in a fund-manipulation probe (Anadolu).

Africa

A Nigerian high court sacked the leadership of the opposition ADC party, putting Atiku Abubakar's presidential bid in doubt (BBC). The FT says the ANC is now a minority in South Africa's largest cities.

Latin America

Brazil approved its first critical minerals list, led by rare earths and copper (Bloomberg). Pope Leo began a trip to Uruguay, Argentina and Peru weeks after lung surgery (BBC). Argentina's Milei is easing fiscal pressure on small firms.

Markets Close

Equities: Wall Street's sell-off was driven by chips and AI. The Dow fell 3.44%, the S&P 500 4.35% and the Nasdaq 5.52% (ANSA). Broadcom and Nvidia lost over 9%, Oracle 7% and Tesla 10.8%. The VIX volatility index jumped about 70% to roughly 28. European bourses fell less (see Europe & Italy). Some delayed quote feeds show European indices up about 2%, which does not match ANSA's closing report. We use ANSA's figures.

Bonds: The US 10-year yield is about 4.84% and the 2-year about 4.78%. Italy's spread is near 109.7 basis points and the BTP yield 4.33%. Wider spreads reflect risk aversion.

Currencies: EUR/USD is steady near 1.12. The dollar index is about 101.6. USD/JPY is near 157.8.

Commodities: Brent is near $99 and WTI $91, a rebound after Wednesday's plunge on hopes of a quicker end to the Iran war. Dutch TTF gas rose 1.5-1.8% to roughly €89.4-89.6/MWh. Gold is about $4,116 (+1%). Copper fell 2.5% on growth fears. Bitcoin dropped about 5% to $76,000.

Tomorrow: The most exposed assets are semiconductors, AI-linked software and data-centre suppliers, and Korean and Japanese equities. Italian names with chip exposure (STMicroelectronics, Technoprobe) are also exposed. Rate-sensitive banks and the BTP spread depend on ECB signals. Oil and gas will react to Hormuz headlines. Haven demand may support gold and the yen. None of this is a forecast.

Technology, Defence & Space

AI trade reprices on regulatory fear

Bloomberg describes a post-election slide in chipmakers that spread into a broad technology sell-off on speculation that congressional Democrats will tighten rules on AI. Atlassian shares fell about 20% after a weak revenue outlook. The FT notes China's veto of the SoftBank-ABB deal shows deal approvals becoming a tool in the global AI-robotics rivalry.

For Europe & Italy: STMicroelectronics, the Franco-Italian chipmaker, fell about 9% in Milan.

Defence: Eurofighter eyes 200 more sales

Breaking Defense reports Eurofighter sees potential orders for 200 more jets. These include second batches for Turkey and Saudi Arabia totalling 78 aircraft, and 36 for Austria if that deal closes. Poland's WB Electronics is preparing an IPO (FT). Ukraine wants a new Starshield deal with SpaceX by mid-2027 and still has no answers on October's service problems (Breaking Defense).

Cyber

- **Refrigeration:** US agencies CISA and the FBI urged critical-infrastructure operators to harden cooling systems after hacks hit European supermarkets in recent weeks. No government has named a culprit.
- **Russia-linked espionage:** Researchers say Russian state-linked hackers ran a zero-click campaign against iPhone and Android users in Ukraine, the US and Europe (The Record).
- **Ransomware:** Queens Public Library, serving 2.3 million residents across 66 branches, was hit.

Space

Blue Origin delayed its launches to 2027 after a devastating explosion, slipping further behind SpaceX (FT). Satellite maker CesiumAstro raised $730m in a Series D valuing it above $4.5bn. It unveiled a "Synchronicity" constellation (SpaceNews).

Overnight & Tomorrow

- **Asia today:** Watch whether the Kospi holds above 4,900 and whether the Nikkei steadies after steep falls. Sell-side halts were triggered in Korea on Thursday. Chinese and Hong Kong markets are also in focus after Beijing's push to support equities.
- **US:** The monthly jobs report is normally released on the first Friday of the month. I could not confirm the consensus. A weak result would add to the rate debate. Futures will show whether Thursday's AI sell-off continues.
- **Iran:** Trump's "you will know soon" decision, plus tanker incidents at Hormuz.
- **Italy:** League federal council in Milan.
- **Next week:** Abu Dhabi US-Russia-Ukraine talks on 10-11 November. EU finance ministers decide around 9 November, which will determine how Italy's defence spending is treated under the escape clause. China-Taiwan tension builds towards Sun Yat-sen's 160th anniversary.
- **Risk:** More profit warnings from industry and a second leg down in tech.

Markets Dashboard

Europe	Last	Day	Week
Euro Stoxx 50	6,265.71	+1.97%	+1.59%
FTSE MIB (Italy)	51,031.00	+2.18%	+2.42%
DAX (Germany)	26,437.67	+2.22%	+2.85%
CAC 40 (France)	8,177.89	+1.96%	+3.69%
IBEX 35 (Spain)	19,370.90	+3.00%	+2.58%
FTSE 100 (UK)	10,829.20	+1.79%	+1.26%

Americas	Last	Day	Week
S&P 500	7,353.73	-4.36%	-4.75%
Nasdaq 100	26,629.81	-6.36%	-9.43%
VIX (US volatility)	28.18	+69.66%	+63.84%
Bovespa (Brazil)	166,191.45	-0.82%	-2.82%

Asia	Last	Day	Week
Nikkei 225 (Japan)	57,569.53	-7.43%	-9.98%
CSI 300 (China)	4,113.41	–	–
Hang Seng (Hong Kong)	23,919.50	+1.67%	+3.57%
KOSPI (South Korea)	4,923.47	-13.38%	-17.08%
Taiex (Taiwan)	42,948.91	-0.83%	-8.69%
Nifty 50 (India)	23,960.60	+0.63%	+5.56%

Rates	Last	Day	Week
US 10Y yield (%)	4.8370	-1.16%	-3.05%
US 2Y yield (%)	4.7750	+0.00%	+0.53%

Currencies	Last	Day	Week
EUR/USD	1.1226	-0.08%	+0.39%
EUR/GBP	0.8340	+0.05%	-0.22%
EUR/CHF	0.9160	-0.14%	-0.53%
EUR/CNY	7.4865	-0.16%	+0.51%
US Dollar Index (DXY)	101.57	+0.06%	-0.46%
USD/JPY	157.76	-0.38%	-0.03%
USD/CNH	6.6631	–	–
USD/RUB	81.80	+0.16%	+1.61%
USD/INR	94.52	-0.25%	-0.73%
USD/BRL	5.4587	-0.52%	+2.11%
USD/TRY	50.15	+0.23%	+0.42%
Bitcoin ($)	76,211.49	-5.22%	-1.58%

Commodities	Last	Day	Week
Brent ($/bbl)	98.96	+4.59%	-13.86%
WTI ($/bbl)	91.00	+3.27%	-10.78%
Dutch TTF gas (EUR/MWh)	89.64	+1.77%	-9.08%
Gold ($/oz)	4,115.90	+1.05%	+2.10%
Silver ($/oz)	52.06	-0.11%	-0.24%
Copper ($/lb)	6.2435	-2.49%	-5.13%
Wheat (c/bu)	599.25	+0.13%	-0.75%

Delayed exchange quotes, last daily close (Yahoo Finance). Prices, not policy facts.

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